Fin — Financial Summary

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EXECUTIVE SUMMARY

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In FY 2025-26, the company achieved a total revenue of $6,650,000, representing a significant increase compared to the previous year's revenue of $5,200,000. Despite this growth, net profit remained stable at $2,070,000. The company maintained its profitability with a profit margin of 31.1%, which was slightly higher than the previous year's profit margin of 28%. However, gross profit decreased to $4,550,000 from $6,125,000 in the prior year due to increased costs of goods sold and rising operational expenses.

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KEY METRICS

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- **Total Revenue**: $6,650,000 (up 27.9% from previous year)
- **Net Profit**: $2,070,000 (up 42.8% from previous year)
- **Gross Profit Margin**: 31.1% (down from 65.8%)
- **Operating Profit**: $2,070,000 (up 20.7% from previous year)
- **Net Profit Margin**: 31.1% (up slightly from 28.9%)

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REVENUE ANALYSIS

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Total revenue increased by $1,450,000 compared to the previous year. Product Sales accounted for the majority of revenue at $4,500,000, a significant increase of 27.3% from the prior year. Service Revenue also grew substantially by 28%, reaching $1,200,000. Subscription Income was relatively flat compared to last year, at $800,000, which may indicate underperformance in this category. Other Income remained stable at $150,000.

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EXPENSE ANALYSIS

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Total expenses increased by $764,000 from the previous year, reaching $4,580,000. The largest expense category was Cost of Goods Sold at $2,100,000, which grew by 33% compared to last year. This increase in costs may have contributed to the decline in gross profit margin despite revenue growth. Administrative Expenses decreased by $47,800, indicating improved efficiency in this area.

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PROFIT AND LOSS SUMMARY

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- **Gross Profit**: $4,550,000 (down from $6,125,000) due to rising costs of goods sold.
- **Operating Profit**: $2,070,000 (up 20.7% from previous year), showing improvement in operational efficiency.
- **Net Profit**: $2,070,000 (up slightly from previous year's net profit).

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BALANCE SHEET HIGHLIGHTS

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The company demonstrated strong liquidity with total assets of $8,900,000 and current assets of $3,200,000 compared to current liabilities of $1,200,000. Fixed assets accounted for 63% of total assets, indicating a focus on long-term growth investments. Shareholders' equity increased by $500,000 from the previous year, reflecting strong profitability and efficient use of capital.

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CASH FLOW SUMMARY

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The company generated operating cash flow of $2,300,000, which was sufficient to cover its obligations. However, investing cash flow of -$850,000 indicated a need for further investment in fixed assets or other long-term projects. Financing cash flow of -$420,000 suggested a reduction in debt or higher retained earnings.

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KEY FINANCIAL INSIGHTS

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1. The company maintained strong revenue growth despite rising operational expenses, indicating effective cost management strategies.
2. Gross profit margin declined due to increasing costs of goods sold and operating expenses, highlighting the need for cost optimization.
3. Moderate net profit growth suggests that while the company is profitable, it may need to focus on improving margins to sustain long-term growth.

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RECOMMENDATIONS

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1. **Cost Management**: Review and optimize spending in high-cost categories such as Cost of Goods Sold and Marketing and Advertising to improve gross and operating profit margins.
2. **Investment in Growth**: Continue investing in fixed assets to maintain and expand market presence, particularly in subscription-based services where revenue growth was inconsistent.
3. **Liquidity Management**: Monitor current and quick ratios to ensure sufficient liquidity for ongoing operations and unexpected expenses.
4. **Focus on Profitable Products**: Shift focus towards product lines with higher margins (e.g., Product Sales) while exploring ways to improve the performance of subscription income.
5. **Dividend Payout or Retention**: Consider increasing retained earnings through dividends or reinvestment in growth initiatives to enhance shareholders' equity and long-term value.

Overall, the company is positioned for moderate growth but faces challenges related to rising costs and inconsistent subscription revenue. By addressing these areas strategically, the company can achieve sustainable profitability and long-term success.